

## Assignment 6 (for Chapter 9)

At the end of the year, the M. I. Wright Company showed the following selected account balances:

|                                 |           |
|---------------------------------|-----------|
| Sales (all on credit)           | \$300,000 |
| Accounts Receivable             | 80,000    |
| Allowance for Doubtful Accounts | 3,800     |

### Required:

1. Assume the company estimates that 1% of all credit sales will not be collected.
  - a. Prepare the proper **journal entry** to recognize the **expense** involved.
  - b. Present the **balances** in **Accounts Receivable** and **Allowance for Doubtful Accounts** as they would appear on the balance sheet. Also, show the **net realizable Accounts Receivable**.
2. Assume the company estimates that 5% of its accounts receivable will never be collected.
  - a. Prepare the proper **journal entry** to recognize the expense involved.
  - b. Present the **balances** in **Accounts Receivable** and **Allowance for Doubtful Accounts** as they would appear on the balance sheet. Also, show the **net realizable Accounts Receivable**.
3. Under assumptions 1 and 2 above, give the proper **journal entries** for the following events. (Please present your answer under the 2 assumptions separately.)
  - June 3, John Shifty, who owes us \$500, informs us that he is broken and cannot pay. We believe him.
  - Nov. 9, We learned that John Shifty has won the lottery and is willing to pay off all his old debts.
  - Nov. 11, John Shifty pays cash to us.

